but also to give them an opportunity to raise issues that they believe warrant the Reserve Bank's attention. In fact, many reforms initiated by the Reserve Bank beyond the monetary policy domain have their origins in these consultations.

Of all the pre-policy meetings, the meeting with the chambers of commerce would be the most predictable since the business and industry representatives would invariably 'talk their book', pleading for a rate cut, no matter the macroeconomic situation. This argument that a rate cut by the Reserve Bank would improve the investment sentiment never cut much ice in the situation prevailing during much of my tenure as governor. All through the policy-tightening cycle, our staff appraisal was that there were many factors, most importantly implementation bottlenecks and governance concerns, which were holding back investment. Certainly, the interest rate was an important variable in an investment decision, but at that juncture it was far from being a binding constraint.

Just to check if our understanding of the ground situation was right, in one such meeting, where some of India's largest corporates were present, I asked how many of them would make an investment commitment in the following month if we did actually cut the rate. They all looked at each other sheepishly but not one hand went up! There was some collective embarrassment on both sides. I felt guilty too because they may have thought I was putting them on the mat. That certainly was not my intention.

I added to the list of pre-policy consultation meetings by introducing a meeting with economists drawn from the financial sector, the academia and the media. These meetings were always very lively, invariably brought fresh perspectives on familiar issues and certainly deepened my understanding of the macroeconomic situation. In all the pre-policy meetings, and even more so in the meeting with the economists, the effort from our side was to engage them in active communication, but without betraying any bias towards any one point of view. I went into these meetings with an open mind although I was aware that at least some participants felt that we suffered from what psychologists call 'confirmation bias'—filtering out all ideas and views that did not accord with ours.